Stock pitch · Cautionary case from the systematic value portfolio

Orient Overseas (International)

HKEX: 316 · Industrials (container shipping) · Hong Kong · Price HK$153.30 (29 Oct 2026)

UNDERWEIGHT · reduce to floor

The highest value score in our universe in December 2025 — and the clearest example of why trailing multiples mislead at the top of a cycle.

Noah Doose · 29 October 2026 · Student research for interview purposes, not investment advice. Not affiliated with, endorsed by or prepared for any firm.

Our scenario in four statements

1. Container shipping is in structural overcapacity: 2026 fleet growth (4.6%) runs ahead of demand (4.1%), with a large orderbook still to deliver.

2. 2026 freight rates were lifted by a shock, not by demand: the US-Iran war and Strait of Hormuz disruption sent ships around the Cape again (Asia-US spot rates +109% by June).

3. When routes normalise, rates fall faster than costs — as they did in 2023, when OOIL's profit fell by 86%.

4. Policy adds two-sided risk: US port fees on Chinese-linked ships resume on 10 November 2026 unless extended.

Source: OOIL interim report 2026 (27 Aug 2026) and Q3 2026 operational update (9 Oct 2026), HKEX; Drewry WCI and SCFI (Oct 2026); USTR (Sep 2026)

Investment view in three points

Cheap on the numbers the screen sees; fairly valued or expensive on normal-cycle earnings.

1. The screen saw peak-ish earnings. At 31/12/2025 the model used fiscal 2024 (profit US$2.6bn): EV/EBIT 1.6x, P/E 3.8x — rank 1 of 199 industrials. Fiscal 2025 profit was already 41% lower.

2. The balance sheet is the only true floor. Net cash about US$4.5bn (June 2026) and NAV US$20.30 a share: the stock trades near book value, not at a deep discount.

3. The dividend shrinks with profits. Payout of 30-50% of profit: US$1.95 for 2024, US$1.14 for 2025, US$0.55 interim for 2026 — and the policy expires after fiscal 2026.

Source: pipeline score and multiples at 31/12/2025 (Bloomberg-derived); OOIL annual report 2025 and interim report 2026

Business

What it does: OOCL, a global container line (Trans-Pacific, Asia-Europe, intra-Asia, Transatlantic), plus terminals.

Ownership: controlled by COSCO Shipping (71% stake, transferred within the group in December 2025); about half of bank balances sit with Chinese state-owned banks.

Fleet: new 13,600 TEU dual-fuel ships ordered in April 2026; contracted capex of about US$5.5bn exceeds net cash.

Economics: revenue = volumes × rate per TEU; costs (ships, bunker fuel, terminals) are largely fixed in the short run, so profit swings far more than revenue.

Source: OOIL annual report 2025 and interim report 2026 (HKEX)

Is it cheap? Only on the wrong year

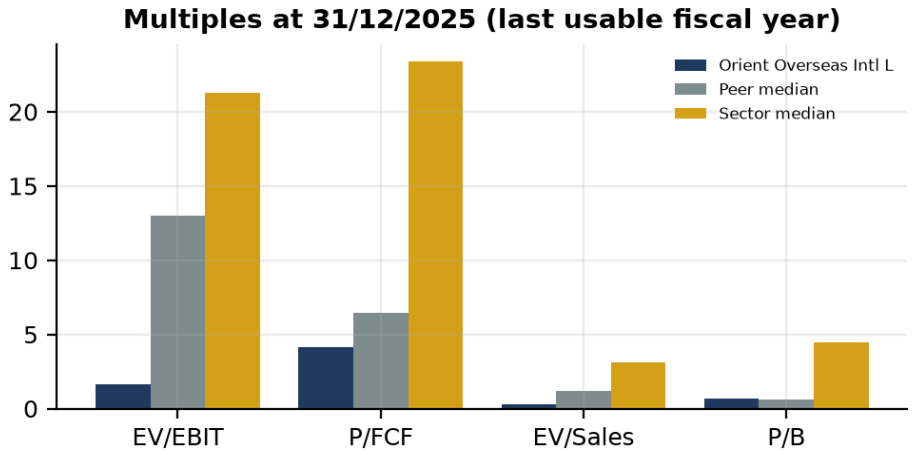
US$m	2019*	2020	2021	2022	2023	2024	2025	H1 2026
Profit attributable	195	903	7,128	9,965	1,368	2,577	1,514	728
P/E at today's market value (≈ US$13.0bn)	67x	14x	2x	1x	9x	5x	9x	—

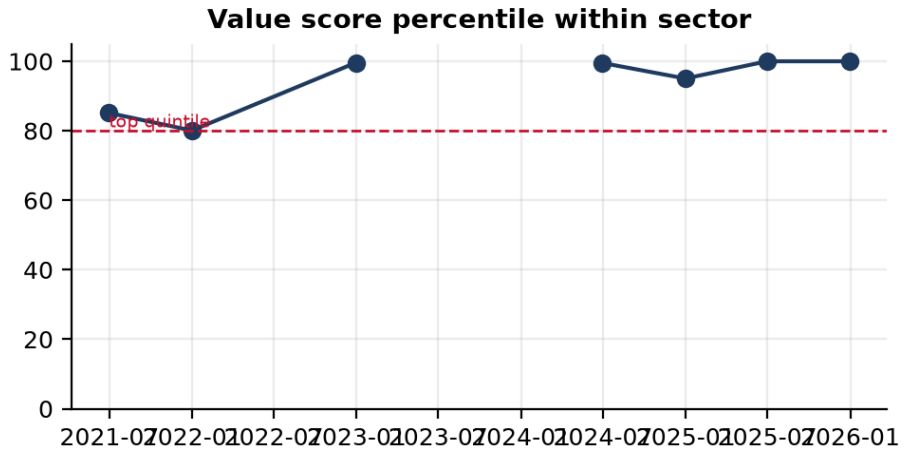
Reading: the 2021-22 pandemic super-cycle earned more than all other years combined. Excluding it, average profit is about US$1,311m — on that base the stock trades at about 10x, not 4x.

* 2019 excludes the US$1,154m one-off gain on the Long Beach terminal sale.

Source: OOIL annual reports 2019-2025 and interim report 2026 (HKEX); own calculation at HK$153.30, 660.4m shares, HKD/USD 7.8 (to verify)

What the screen saw





Source: pipeline (pitches/assets/316_HK), multiples on last usable fiscal year at 31/12/2025

Composite score 5.54: the highest of any stock in the universe at the December 2025 rebalance.

Every metric looked extreme because each one divides by a cyclical numerator (EBIT, cash flow, sales at peak rates).

The model held OOIL at 4 of 10 rebalances, mostly just after strong years — the classic pattern of a cyclical trap.

Peers (Maersk, NYK, Mitsui OSK, K Line) screen cheap for the same reason.

Catalysts

10 Nov 2026: US port fees on Chinese-linked operators resume unless extended — OOCL is directly exposed.

10 Jan 2027: US-China truce expires.

Mid-January 2027: Q4 2026 operational update (volumes, rate per TEU).

March 2027: fiscal 2026 results and the new dividend policy for 2027 onwards.

2027: return of ships to the Suez route as the Middle East stabilises; Trans-Pacific contract season in spring.

Source: USTR announcements (Sep 2026); OOIL reporting calendar (past practice, to verify)

Valuation on normal-cycle earnings

Scenario	EPS (US$)	P/E	Value / share (US$)	Value (HK$)	vs HK$153.30
Bear	1.39	7x	9.7	76	-50%
Base	1.99	8x	15.9	124	-19%
Bull	2.98	9x	26.8	209	+36%

Method: normal-cycle EPS = average 2019-2025 profit excluding 2021-22 (US$1,311m) ÷ 660.4m shares. Bear: normalisation below average as overcapacity bites. Bull: disruption lasts and rates stay high.

Floor: NAV US$20.30 a share (≈ HK$158) — so the downside is limited by the balance sheet, the upside by the cycle.

Third-party: consensus 'Hold', target HK$142.7 (4 analysts).

Source: own calculations; OOIL annual report 2025 (NAV); StockAnalysis (29 Oct 2026, third-party)

Risks — including to our own positioning

Upside risk to an underweight: a longer Hormuz/Red Sea disruption keeps rates high (Q3 2026 revenue +45%); special dividends could follow. Our reduced position would then lag.

Downside risks: rate collapse as ships return to Suez; orderbook deliveries; US port fees; contracted capex above net cash.

Governance: minority shareholders sit beside a state-owned controller (COSCO); cash deposits with Chinese state banks.

Model risk: a rules-based value book will keep buying such names at the top. The fix is a normalised-earnings or quality filter for cyclical sectors, not a discretionary override.

Source: OOIL interim report 2026 and Q3 update; own analysis

Place in the portfolio

2%	4%	+0.4%	+10.8%
equal-weight (model)	mean-variance (cap)	H1 2026 total return (EUR)	MSCI World Net EUR, H1 2026

The rules hold it at 2%; as the analyst I would recommend the 0.5% floor until normal-cycle earnings justify more.

Mean-variance put it at the 4% cap — a reminder that historical-return optimisers love past winners.

HKD is pegged to the USD; HKD exposure is unhedged (fewer than five HKD lines).

Source: outputs/portfolio/weights_*.csv; pipeline returns

Sources

[O1] OOIL, Interim report 2026, 27 Aug 2026 — HKEX (accessed 29 Oct 2026)

[O2] OOIL, Annual report 2025 (incl. 10-year summary), Mar 2026 — HKEX (accessed 29 Oct 2026)

[O3]-[O5] OOIL, annual results 2019, 2022 and earlier reports — HKEX (accessed 29 Oct 2026)

[O6]-[O7] OOIL, Q3 2026 operational update, 9 Oct 2026, and press coverage

[O8] OOIL, dividend policy announcements (accessed 29 Oct 2026)

[O9] COSCO Shipping, intra-group stake transfer announcement, Dec 2025

[O10]-[O11] USTR Section 301 port fees and suspension/extension notices, Oct 2025 - Sep 2026

[O12]-[O14] Freight indices: press on Asia-US spot rates (Jun 2026), SCFI (Sep-Oct 2026), Drewry WCI (22 Oct 2026)

[O15] StockAnalysis, OOIL price, range, multiples, consensus, 29 Oct 2026 (third-party)

Portfolio Project pipeline: score, multiples (Bloomberg-derived), weights, returns

To verify at the terminal: HKD/USD rate, consensus, Q3 filing on HKEX, Q4 update date.